

The complaint

C complains Royal & Sun Alliance Plc has unfairly named one of its directors in a record of a van insurance policy claim.

C's been represented in this complaint by the same director. I've referred to him as Mr B. For simplicity I've referred to his comments as being those of C.

What happened

C had a van stolen. It claimed on its RSA van insurance policy. The claim was settled. But its unhappy with how the claim has been recorded by RSA. Mr B, a named driver on the policy, is recorded in an insurance industry database as the driver for the claim. C says this resulted in the cost of his personal motor insurance increasing. It says Mr B shouldn't be affected personally by the claim record. It says it owned the van and Mr B wasn't driving it at the time of theft. C feels it's unreasonable that it pays more for cover, than a private individual, yet named drivers on the policy are held liable for incidents.

RSA responded to C's complaint. It said C had told it Mr B was the last driver of the van before it was stolen. It said the last person to drive the vehicle is recorded as the named driver for theft claims. It felt the claim had been recorded correctly.

Our Investigator didn't think RSA had acted unfairly by recording Mr B as the driver for the claim. C didn't agree. So the complaint has come to me for a final decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I'm not making RSA do anything differently.

C's policy says information about incidents will be passed to various insurance databases – including the Claims Underwriting Exchange (CUE). This is the database C is unhappy Mr B has been named on. It records various information about claims including the policy holder and driver. The two won't necessarily always be the same.

It's standard practice for insurers to record on CUE the driver of the vehicle for an incident. It's information other insurers might be interested in when considering whether to offer cover or for what price. Insurers may or may not consider it an indicator of the risk profile of an applicant for insurance.

The policyholder in this case is a limited company, not an individual. The vehicle belongs to the company, not Mr B. And it was parked at the company's address. C feels this means he shouldn't be recorded on CUE as involved with the claim. But as I've said the driver, or last driver for theft claims, of a vehicle is something that might be of interest to other insurers – regardless of whether the policyholder for the vehicle is an individual or company.

In my experience it's common practice for the last driver of a vehicle to be recorded as the driver for a theft claim. That doesn't mean the driver is held at fault, liable or to blame for the loss. Instead it's a record of who was using, or last using, the vehicle. But again, it's something an insurer might be interested in when deciding whether to offer cover to that individual.

C says it can't be known for sure that Mr B was the last driver before the theft. And it says RSA didn't directly ask C who the last driver was. So he shouldn't be logged as the driver. But in the notification of claim call C gave enough information for RSA to reasonably conclude Mr B was the last driver. It was told he was the main driver. That he had parked it outside his own house (the same address as C's) before it was stolen. And that the only other named driver had said he hadn't used it. I accept it can't be known for absolute certain that Mr B was the last driver. But it seems most likely that he was.

C says the policy terms don't state that RSA will record the last driver on a claim record. C feels it should be made clear during the sale of cover or in the policy terms that a named driver might be included as part of a claim record. It's not something I'd expect RSA to explain explicitly. The terms do explain incident information will be passed on to various registers. I don't agree that RSA did anything wrong by not stating specifically that the driver of the vehicle might form part of that information.

So I don't think RSA has acted unfairly or unreasonably by recording Mr B as the driver on the CUE claim record.

My final decision

For the reasons given above, I'm not upholding C's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask C to accept or reject my decision before 11 November 2020.

Daniel Martin
Ombudsman